BEFORE THE
STATE OF NEW YORK
PUBLIC SERVICE COMMISSION

In the Matter of

The Brooklyn Union Gas Company d/b/a National Grid NY &
KeySpan Gas East Corporation d/b/a National Grid

Cases 23-G-0225 & 23-G-0236

September 22, 2023

Prepared Rebuttal Testimony of:

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Q. Members of the Staff Efficiency Panel, have you previously provided a summary of your educational background and professional experience?

A. Yes, our educational backgrounds and professional experiences are summarized in the direct testimony of the Staff Efficiency Panel submitted on September 1, 2023. We will refer to this as our initial testimony.

Q. What is the purpose of your rebuttal testimony?

A. We intend to address the following topics: (1) recommendations of the City of New York Witness Michele Chait regarding cost recovery mechanisms for firm customer gas demand response programs operated by The Brooklyn Union Gas Company d/b/a National Grid NY, or KEDNY, and KeySpan Gas East Corporation d/b/a National Grid, or KEDLI, collectively referred to as the Companies, hereafter referred to as the demand response programs; and (2) recommendations of NRG Energy Inc., et al., or NRG, Witness Christopher Reyes regarding customer participation in the Companies' demand response programs while taking supply service from an Energy Service Company,

or ESCO.

Demand Response Program Cost Recovery

Q. Did the Panel address cost recovery mechanisms related to the Companies' firm customer gas demand response programs in the testimony submitted on September 1, 2023?

A. Not directly. In our initial testimony, we addressed the Companies' proposals to eliminate the Demand Capacity Surcharge Mechanism, or DCSM, which includes certain provisions related to recovery of demand response program costs which have been recovered through the DCSM as part of the present Rate Plan. On pages 10 through 13 of our initial testimony, we discussed use of the DCSM to recover energy efficiency program costs during the current Rate Plan; however, our initial testimony did not address the Companies' proposals regarding recovery of demand response program costs. We also describe the Companies' demand response program portfolio consisting of the Load Shedding program, the Load Shifting program, the Bring Your Own Thermostat, or BYOT, program, and the Behavioral Demand Response program, on pages

70-73 of our initial testimony.

Q. Please summarize the Companies' proposals regarding recovery of demand response program costs.

A. On pages 124 through 125 of KEDNY and KEDLI's Customer Panel's direct testimony, the Companies state that they presently recover part of their gas demand response program non-labor O&M costs through the DCSM, and the remainder through the Demand Response O&M, or DROM, component of the Delivery Rate Adjustment surcharge. Specifically, the Companies state they recover the non-labor O&M costs related to the Load Shedding and BYOT programs, consisting predominantly of costs related to participant financial incentive payments and including a "very small amount" of marketing and administrative costs, through the DCSM. The Companies state that they recover the non-labor O&M costs associated with the Load Shifting program through the DROM.

Q. Do the Companies propose to alter how they recover these costs?

A. Yes, the Companies propose to recover all non-

labor O&M costs associated with their portfolio of demand response programs through the DROM beginning on July 1, 2024. Further the Companies note that their proposed recovery of all demand response program non-labor O&M costs through a surcharge is consistent with statewide treatment of electric demand response program costs, including at Niagara Mohawk Power Corporation d/b/a National Grid, the Companies' upstate New York sister utility, and state that recovering all such costs through the DROM will reduce administrative complexity compared to the present methodology.

Q. Please summarize City Witness Chait's recommendations regarding recovery of demand response program costs.

A. On page 39 of Witness Chait's direct testimony, the City recommends that the Companies' proposal to recover marketing and administrative costs related to the load shedding and BYOT program components through the DROM should be rejected, and instead such costs should be included in base rates.

Q. Do you agree with City Witness Chait's

recommendations related to recovery of demand response program costs?

A. No. We see no discernable benefit to partially recovering a portion of non-labor O&M demand response program costs through base rates with the remainder recovered through the DROM. Instead, all non-labor O&M costs should be collected through the DROM as proposed by the Companies.

Q. Why should all non-labor O&M costs be collected through the DROM?

A. There are three reasons why all non-labor O&M costs associated with the demand response program should be collected through the DROM instead of in base rates. First, collection of costs through base rates exposes demand response program costs to incentives inherent in the traditional utility business model and rate setting process which may have a detrimental impact on demand response program operations.

Q. What incentives would recovery through base rates expose non-labor O&M costs to?

A. Utilities have an incentive to reduce the O&M costs actually incurred during the term of a

rate plan in comparison to the level forecast when setting base rates since they are able to retain the difference between those levels, whether the rate plan is one-year or multiple years. That is, if marketing and administrative costs are recovered through base rates, the Companies are incentivized to underspend O&M budgets and may not expend the full amount of funding allocated to these critical endeavors.

Q. Would recovering these costs through a surcharge eliminate this incentive?

A. Yes, recovering the marketing and administrative costs through the DROM would eliminate the incentive to minimize these costs because the Companies would recover costs on an as-incurred basis – that is, the Companies would only recover the costs it actually incurs - and would not retain any savings for itself. Fundamentally, the utility should expend its marketing and administrative budgets on improving demand response participation, performance, and operations. Further, demand response program expenditures are controlled by the requirement that such programs must be

operated cost-effectively, which forces the Companies to ensure that the demand response program costs are money well spent.

Q. What is the second reason all non-labor O&M costs should be recovered through the DROM?

A. Second, implementing the City's recommended change to the cost recovery mechanism for the Load Shedding and BYOT programs would establish different cost recovery mechanisms for different component programs within the Companies' demand response program portfolio. As stated on page 124 of KEDNY and KEDLI's Customer Panel's direct testimony, non-labor costs for the Load Shifting demand response program are already recovered through the DROM. Confirmed in he Companies' response to DPS-1019, included in Exhibit___(SEP-1R), these Load Shifting program non-labor O&M costs include administrative and marketing costs. If the City's recommendation is adopted, all non-labor and O&M costs for the Load Shifting program – including marketing and administrative costs - and all other non-labor O&M costs for the Load Shedding and BYOT programs would be recovered through the DROM,

while the marketing and administrative costs for the Load Shedding and BYOT programs would be included in base rates.

Q. What is the third reason all non-labor O&M costs should be recovered through the DROM?

A. Third, recovering all demand response program non-labor O&M costs through a surcharge, in this case the DROM, is consistent with how electric demand response program costs are recovered Statewide, as discussed on pages 124 and 125 of the Companies' Customer Panel's direct testimony. That is, recovering administrative and marketing costs through base rates, as proposed by the City, would create a difference between cost recovery mechanisms between KEDNY and KEDLI and other utilities without any discernable benefit for doing so.

Q. What does the Panel recommend?

A. We recommend that all non-labor O&M costs associated with the demand response programs, including marketing and administrative costs, be recovered through the DROM as proposed by the Companies.

ESCO Customer Participation in Demand Response

Q. Please summarize NRG's testimony regarding customer participation in the Companies' demand response programs while taking supply service from an ESCO.

A. On pages 2 and 3 of Witness Reyes' direct testimony, NRG states that it has concerns regarding the Companies' notification practices when a customer that is taking supply service from an ESCO also participates in the demand response programs. Specifically, NRG states that the Companies do not notify the ESCO when an applicable customer enrolls in the demand response program, nor do the Companies notify the ESCO when demand response program events occur. NRG states that this lack of notification is detrimental to its business since it charges its customers based on estimated usage, and participation in demand response events is likely to decrease customers' usage. Therefore, when customers' actual usage is lower than the estimated usage that pricing is based on, companies like NRG may be unable to recover their costs from their customers.

Similarly, NRG states that there may be issues with cash flow and monetary risk if there are differences between the amount of estimated usage used to develop gas prices and the actual usage which determines the revenues that NRG takes in.

Q. Does NRG attempt to ameliorate demand response program participation with its customers on its own?

A. Yes, on page 3 of Witness Reyes' testimony, NRG states that it tries to attain information from its customers, but often it faces barriers in that the person responsible for enrolling the customer in the demand response program is not the same person that interfaces with NRG.

Q. What does NRG recommend?

A. On page 4 of Witness Reyes' testimony, NRG recommends that the Commission direct the Companies to amend their respective tariffs in two ways. First, NRG recommends that the Commission establish a separate rate class for customers participating in the demand response programs, and require such customers to specify the volumetric levels at which they have elected

to participate. Second, NRG recommends that the Companies be required to revise their tariffs to provide ESCOs with specific details about demand response program events as soon as practicable after a customer agrees to participate in demand response events, including the date and time period events are called for and the volumetric reduction in gas use for applicable customers.

Q. Does the Panel agree with NRG's recommendations?

A. No. There are three reasons why NRG's recommendations should not be approved. First, there is no basis to establish a separate rate class for customers that participate in demand response programs. As shown in the Companies' response to DPS-1018, included in Exhibit___(SEP-1R), there are no significant cost of service differences anticipated to justify establishing a new rate class for demand response program participants in this proceeding.

Q. What is the second reason?

A. Second, as shown in the Companies' response to DPS-1018, implementing NRG's recommendation to move demand response program participants in and

out of the special rate class requested by NRG as they enroll or de-enroll from the demand response programs would be administratively burdensome. Additionally, establishing an additional rate class would require significant time and resources to develop. In sum, there are likely significant direct and opportunity costs associated with time and effort needed to implement and administer NRG's request while the only benefit appears to be aiding ESCOs in identifying customers that participate in the demand response programs.

Q. What is the third reason?

A. Third, as stated on page 15 of the Companies' Firm Demand Response 2022-2023 Annual Report submitted on June 15, 2023 in Cases 20-G-0086 and 20-G-0087, the Companies routinely provide event performance information to demand response program participants after each event. These communications could be provided by the customer to NRG without expenditure of further ratepayer funds if NRG simply asked its customers for copies of such.

Q. What does the Panel recommend?

A. Fundamentally, NRG's issues communicating with its customers are not something that ratepayers at large should be responsible for either through unnecessary tariff requirements, or through expensive and administratively burdensome changes to how the Companies assign customers to rate classes.

Q. Does this end your testimony?

A. Yes. Thank you.